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01 Introduction

Strategic business management is critical, and financial modeling is an integral part of it; it is a key functional parameter that enables corporations to forecast and decide. Financial modeling is simply a mathematical constructiveness of an entity's financial performance. This helps analyze how a business behaves in various economic situations or market conditions and provides information businesses can use as forecasts and help in strategic planning.

The creation of a financial model aims at growth and risk management. A model simulates several financial scenarios, allowing businesses to test the likely risks and returns of different strategies before implementing them. Since companies can foresee financial outcomes, they can:

- **Identify Growth Opportunities:** Financial models examine how various investment opportunities can provide returns to businesses, allowing them to spend their resources more strategically on new ventures likely to generate growth.
- **Predict Adverse Effects:** Models can anticipate the harmful impact of incorporating several assumptions about the enterprise atmosphere, such as changes in market dynamics, interest rates, or alternate rates. This allows companies to create strategies that will offset risks and thus maintain financial stability.
- **Assess capital structure:** Models help determine the best capital structure, i.e., the optimum mix between equity and debt, which will minimize costs and optimize profitability.
- **Support Decision-Making:** Quantitative analyses by financial models can help higher management make informed decisions and support those in the company with its long-term objectives.

02 Theoretical Framework

02.1 Financial Modeling Techniques

Strategic business managers use financial modeling technology to analyze investments and predict business performance while handling the risks of their decisions, as Benninga (2014) suggests. Financial models consist principally of DCF analysis to measure investment benefits, capital budgeting, and scenario tests for project evaluation.

Decreased Cash Flow (DCF) forms the foundation of financial analysis to measure investment worth by examining projected money gains over time (Kruschwitz & Löffler, 2006). The DCF model shows today's Value of future cash flows through a rate that combines capital expense and investment danger per Damodaran (2012). Typically, DCF analysis uses this mathematical equation:

$$PV=(1+r)1CF1+(1+r)2CF2+...+(1+r)nCFn$$

Our concept is built on discounting future cash flow values (CF) by the rate r . The accuracy of predicted cash flows and picked discount rates determine the outcome of this financial investment evaluation method.

Companies use capital budgeting to decide if long-term investment projects will succeed and generate money. To allocate funding correctly, the business chooses projects with better revenue returns than spending levels (Mao, 1970). Businesses use NPV and IRR techniques to determine investment profitability, according to Siziba and Hall (2021). Businesses can evaluate investment projects profitably in current terms by calculating NPV, which sums all present values of income and spending during the investment duration per Fiandini and Nandiyanto (2023). The forecasted earnings from a project or investment show a positive return when their present Value exceeds the costs' present value figures.

The **Internal Rate of Return** is a discount rate that connects NPV calculations by bringing all project cash flows to an equivalent zero value. The IRR shows how much money a project or investment is expected to generate each year at its end value. The tool aids companies in deciding between various investment options. The decision rule states that new projects should proceed when their expected return package generates earnings above the company's needs (Brealey et al., 2011).

Scenario analysis Scenario analysis functions alongside traditional investment methods to show what would happen when analysts test hypothetical situations on their project or investment values. This analysis lets us see how altering main investment parameters such as cash flow, project duration, and rate influences the investment results. This approach helps managers understand how project losses may occur when adverse situations happen in risk management (Daniluk, 2021).

Microsoft Excel proves essential for implementing these principles. The Excel files enable users to experience DCF and capital budgeting by calculating NPV and IRR by entering cash flows and discount rates to see project return outcomes (Smith, 2020).

02.2 Role of Assumptions and Risk Factors:

Financial modeling needs assumptions as its base for producing reliable financial predictions. The modeling process needs data points about market trends, business expansion limits, and economic factors. According to Soerjomataram and Bray (2021), loan and interest rate assumptions directly guide our results in amortization schedules and determine how loans are broken down into payments. The lessor's earning potential and lease value depend on assumptions such as lease terms, residual values, and the lessee's credit quality, according to Singer et al. (2023), and these assumptions influence whether the lessee receives good lease value.

Financial modeling decisions depend heavily on factors that come from outside the organization. External market threats and financial changes impact the business model due to economic instability, regulatory shifts, and interest rate variability, according to Settembre-Blundo et al. (2021). Our Excel financial model and swap agreements require us to predict how interest rates will change. Since participants exchange payment practices between fixed and floating terms, rate swaps depend on predictions about upcoming interest rate variations. Inaccurate predictions about expected cash flows will create financial instability for the participants in any transaction (Huggins & Schaller, 2024).

Beliefs about interest rates guide how financial models handle external dangers. Advanced risk control plans are needed to protect business health. Financial models that include scenario testing improve business strategy development and decision-making by evaluating plan strength under different market conditions.

03 Model Design and Methodology

03.1 Steps to Build a Strategic Financial Model

1. Our target is to improve corporate development and lower potential hazards.
2. Using a financial model with suitable features for our objective. The right financial model for business growth and risk handling would consist of discounted cash flow (DCF) data with scenario and sensitivity tests.
3. Our first task is to obtain information on past financial records from the company's official financial documents. Our analysis needs multiple yearly records to create solid predictions.
4. Using concrete patterns from business history results and market developments supported by projected economic data. A financial analyst must use reasonable values for growth rates, market changes, capital costs, and inflation.
5. We create our model framework, which starts with a layer of input assumptions and then moves into processing calculations and output results, including forecasted financial documents.
6. Our system needs multiple futures, including the base case plus optimism and pessimism scenarios, to show model result variations when assumptions vary. This process helps companies prevent unexpected risks.
7. Testing the model works by matching its results with tested data and re-running past simulations. Our sensitivity test shows how the accuracy of the results depends on our model assumptions.
8. Diagnose and correct the model's results to make it more dependable and dependable.

03.2 Data Sources, Assumptions, and Validation Techniques

Data Sources:

- Income Statement: Revenue, operating expenses, net income.
- Balance Sheet: Assets, liabilities, equity.
- Cash Flow Statement: Cash flows from operating, investing, and financing activities.

03.3 Addressing Challenges in Model Accuracy and Reliability

- **Data Quality:** Ensure the data used is accurate and up-to-date. Poor quality data can significantly impact model outcomes.
- **Complexity:** Overly complex models can be complicated to validate and understand. Aim for simplicity while maintaining necessary detail.
- **Assumption Sensitivity:** Use sensitivity analysis to identify and mitigate the impact of assumptions that significantly impact the model's output.
- **Model Testing:** Regularly update and test the model against new data and adjust as necessary to keep it relevant.

04 Application and Analysis

04.1 ACL Plastics DCF Model Summary

Year	Projected Revenue (LKR '000)	Operating Profit (LKR '000)	NO PART (LKR '000)	Depreciation (LKR '000)	CapEx (LKR '000)	Change in WC (LKR '000)	FCFF (LKR '000)
1	2,610,000	654,500	458,150	17,500	17,500	35,000	423,150
2	2,818,800	763,584	534,509	17,500	17,500	38,340	496,169
3	2,987,128	837,156	585,809	17,500	17,500	40,780	544,529
4	3,136,484	879,135	615,395	17,500	17,500	42,735	572,660
5	3,293,308	922,925	645,648	17,500	17,500	44,820	600,828

Table 1: DCF Model Summary for ACL Plastic

Adapted from the Financial statements of ACL Annual Report (Appendix 01)

Terminal Value Calculation:

- **Terminal Growth Rate (g):** 3%
- **Terminal Year FCFF (Year 6):** FCFF in Year 5 $\times (1 + g) = 600,828 \times 1.03 = 619,053$
- **Terminal Value at the end of Year 5:** $\frac{619,053}{WACC - g} = \frac{619,053}{0.18 - 0.03} = 4,127,100$
- **Discounted Terminal Value:** $\frac{4,127,100}{(1.18)^5} = 2,016,421$

Discounted FCFFs and Sum of Present Values (using WACC = 18%)

Year	FCFF (LKR '000)	Discount Factor	Present Value (LKR '000)
1	423,150	0.8475	358,583
2	496,169	0.7182	356,331
3	544,529	0.609	331,737
4	572,660	0.5164	295,679
5	600,828	0.4376	262,917
Terminal	2,016,421	0.4376	882,489

04.2 Alumax DCF Model Summary

Year	Revenue (LKR)	Operating Profit (LKR)	NO PART (LKR)	Depreciation (LKR)	CapEx (LKR)	Δ Working Capital (LKR)	FCFF (LKR)
1	11,031,996,640	1,323,839,597	1,006,118,494	388,226,181	388,226,181	110,319,966	895,798,528
2	11,914,556,371	1,429,746,765	1,086,607,142	418,750,779	418,750,779	119,145,564	967,461,578
3	12,630,229,753	1,515,627,570	1,151,877,154	443,642,891	443,642,891	126,302,298	1,025,574,856
4	13,388,043,558	1,606,565,227	1,221,989,573	470,742,979	470,742,979	133,880,436	1,087,109,137
5	14,191,326,172	1,702,959,141	1,294,249,547	498,895,672	498,895,672	141,913,262	1,152,336,285

Table 2: Alumax PLC DFC Model Calculation

Adapted from the Financial statements of Alumax PLC Annual Report (Appendix 02)

Terminal Value and DCF Valuation

- **Year 5 FCFF for Terminal Value:** $1,152,336,285 \times (1 + 0.03) = 1,186,906,374$
- **Terminal Value (TV):** $\frac{1,186,906,374}{0.16 - 0.03} = 10,789,149,766$
- **Discounted Terminal Value:** $\frac{10,789,149,766}{(1.16)^5} = 5,792,962,730$

Year	FCFF (LKR)	Discount Factor	Present Value (LKR)
1	895,798,528	0.8621	772,218,215
2	967,461,578	0.7431	718,903,965
3	1,025,574,856	0.6407	656,798,097
4	1,087,109,137	0.5523	600,376,520
5	1,152,336,285	0.4761	548,468,728

04.3 Scenario Planning: Optimistic, Realistic, and Pessimistic Cases

Interestingly, scenario planning for ACL Plastics and Alumex PLC must consider optimistic, realistic, and pessimistic prospects for navigating future uncertainties.

Optimistic Scenario: In this case, it takes more than expected economic growth and successful market expansion. For example, for ACL Plastics, this could be breakthrough innovations in product lines, reaping additional market share, and the opportunity for growth rates of 12- 15% per annum. Alumex lives under optimistic circumstances that include a count on a good rise from building booms, the reprieve of tariffs, and increasing export opportunities. At the same time, growth estimations might reach 10% a year or more.

Realistic Scenario: Based on current market conditions and expected economic trends, with steady demand and operational efficiency gains, ACL Plastics would continue to add relatively modest volumes (6-8%) as it grows. Alumex's growth rate could be around 6-8%, keeping in line with the steady industry demand in the construction sector and slow overall market growth in Europe.

A Pessimistic Scenario refers to economic troubles, increased competition, or unfavorable regulatory changes. If these conditions continue, ACL Plastics could see a massive drop in consumer demand or raw material shortages, killing growth at 2-3%. These factors could also harm Alumex regarding revenue contraction if important projects are postponed or canceled.

04.4 Financial Decision-Making and Risk Mitigation Insights

Diversification of Product Lines and the Exploration of New Markets for Risk Mitigation: Both companies should consider diversifying their product lines and looking at new markets to reduce the risks caused by changes in the world economy. Product promotion strategies should be practical, and investing in technology to improve operational efficiency is important. Strong liquidity position to manage unexpected downturns and scenario planning to prepare for various market conditions.

Scenario Analysis Guide for ACM Plastics and Alumex Financial Leaders: Financial leaders should make decisions regarding capital allocation in ACL Plastics and Alumex, leading to

financial success. Under different conditions, the most profitable use of resources will be based on investment in areas with the highest potential returns.

05 Conclusion and Recommendation

Based on the assumptions applied to the financial model, the DCF valuation of ACL Plastics and Alumex PLC shows that they have strong but different potential growths under different scenarios. Based on stable profit and loss statements and growth mainly relying on operational efficiency, market expansion, and maximum resource utilization. Thus, Alumex PLC has the potential to grow significantly (with some limitations), particularly in good economic conditions.

Strategic Recommendations: It is wise for both companies to opt for areas of new market segments and operational efficiencies to grow sustainably. Mitigating such risks from market volatility requires diversifying supply chains and investing more in research and development. A process of regular scenario planning will be needed to change strategies to the dynamic market conditions to make sure that ACL Plastics, as well as Alumex PLC, can be able to overcome the challenges, if any, that will be there and or take advantage of the opportunities that might come in the way of expansion and profitability.

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Appendix 01

Data From ACL Pistic

Profit or Loss Statement

Statement of Profit or Loss

(all amounts in Sri Lanka Rupees)

	Note	Group Year ended 31 March		Company Year ended 31 March	
		2024	2023	2024	2023
Revenue from contracts with customers	6	2,373,421,587	2,477,267,108	2,373,421,587	2,477,267,108
Cost of sales	8	(1,840,591,268)	(1,690,479,858)	(1,840,591,268)	(1,690,479,858)
Gross profit		532,830,319	786,787,250	532,830,319	786,787,250
Net gains/(losses) from financial assets at fair value through profit or loss	7	44,738	-	44,738	-
Other operating income	7	2,081,525	3,124,973	2,081,525	3,124,973
Total operating income		2,126,262	3,124,973	2,126,262	3,124,973
Administrative costs	8	(10,973,550)	(11,357,389)	(10,450,932)	(10,385,632)
Operating profit		523,983,031	778,554,834	524,505,649	779,526,591
Finance income	10	51,788,936	102,335,088	42,962,089	92,318,088
Finance costs	10	(1,090,630)	(10,238,164)	(6,593,145)	(23,832,664)
Finance income - net	10	50,698,306	92,096,924	36,368,944	68,485,424
Profit before tax		574,681,337	870,651,758	560,874,593	848,012,015
Income tax expense	11	(119,001,234)	(235,692,190)	(114,702,425)	(229,317,085)
Profit for the year		455,680,103	634,959,568	446,172,168	618,694,930
Net profit attributable to shareholders of the Company		455,680,103	634,959,568	446,172,168	618,694,930
Basic/diluted earnings per share (Rs)	12	108.17	150.73	105.92	146.87
Dividend per share (Rs)	13	15.00	15.00	15.00	15.00

Statement of Comprehensive Income

Statement of Comprehensive Income Statement of Financial Position

(all amounts in Sri Lanka Rupees)

	Note	Group		Company	
		As at 31 March		As at 31 March	
		2024	2023	2024	2023
ASSETS					
Non-Current Assets					
Property, plant and equipment	14	371,999,645	329,679,409	371,999,645	329,679,409
Right-of-use assets	15	1,532,019	1,554,219	1,532,019	1,554,219
Investment in subsidiary	16	-	-	10,000,010	10,000,010
Financial assets at fair value through other comprehensive income (FVOCI)	17	49,267,460	43,226,910	49,267,460	43,226,910
Total Non-Current Assets		422,799,124	374,460,538	432,799,134	384,460,548
Current Assets					
Inventories	19	563,741,719	557,509,607	563,741,719	557,509,607
Trade and other receivables	20	1,606,529,665	1,345,905,646	1,469,654,076	1,289,513,941
Financial assets at fair value through profit or loss	21	35,044,738	-	35,044,738	-
Cash and cash equivalents	23	841,624,281	823,320,233	841,179,949	822,875,901
Total Current Assets		3,046,940,403	2,726,735,486	2,909,620,482	2,669,899,449
Total Assets		3,469,739,527	3,101,196,024	3,342,419,616	3,054,359,997
EQUITY AND LIABILITIES					
Capital and Reserves					
Stated capital	27	79,974,555	79,974,555	79,974,555	79,974,555
Revaluation reserve	28	201,070,223	164,667,798	201,070,223	164,667,798
Revenue reserve	29.1	170,000,000	170,000,000	170,000,000	170,000,000
Financial assets at FVOCI reserve	29.2	34,157,339	29,928,954	34,157,339	29,928,954
Retained earnings		2,770,485,853	2,372,161,453	2,674,990,074	2,286,173,610
Total Equity		3,255,687,970	2,816,732,760	3,160,192,191	2,730,744,916
Non-Current Liabilities					
Defined benefit obligations	25	12,508,030	11,287,768	12,508,030	11,287,768
Deferred tax liability	26	83,404,686	78,923,588	83,404,686	78,923,588
Total Non-Current Liabilities		95,912,716	90,211,356	95,912,716	90,211,356
Current Liabilities					
Trade and other payables	24	20,723,147	41,126,460	20,587,417	114,205,284
Bank overdraft	23	-	1,166,688	-	1,166,688
Income tax payable	22	97,415,694	151,958,760	65,727,294	118,031,753
Total Current Liabilities		118,138,841	194,251,908	86,314,711	233,403,725
Total Liabilities		214,051,557	284,463,264	182,227,426	323,615,081
Total Equity and Liabilities		3,469,739,527	3,101,196,024	3,342,419,616	3,054,359,997

Appendix 02

Data From Alumax PLC

Statement of Profit or Loss

Year ended 31 March	Notes	Company		Group
		2023 Rs. '000	2022 Rs. '000	2022 Rs. '000
Revenue	5	10,214,848	9,042,944	9,595,282
Cost of Sales		(8,165,158)	(7,027,596)	(7,316,667)
Gross Profit		2,049,690	2,015,348	2,278,615
Other Income	6	84,286	51,973	53,141
Selling and Distribution Expenses		(321,925)	(261,289)	(267,516)
Administrative Expenses		(589,573)	(554,063)	(576,512)
Operating Profit		1,222,478	1,251,969	1,487,728
Finance Cost	7.1	(1,790,268)	(535,723)	(558,455)
Finance Income	7.2	721,330	440,172	452,482
Profit Before Tax	8	153,540	1,156,418	1,381,755
Income Tax Expenses	9	(163,750)	(189,670)	(229,849)
Profit/(loss) for the Year		(10,210)	966,748	1,151,906
Profit Attributable to Shareholders		(10,210)	966,748	1,151,906
		(10,210)	966,748	1,151,906
Diluted and Basic Earnings Per Share	10	(0.02)	1.61	1.92
Dividend Per Share	11	0.25	0.60	0.60

Statement of Financial Position

		Company		Group
Year ended 31 March	Notes	2023 Rs. '000	2022 Rs. '000	2022 Rs. '000
Assets				
Non-Current Assets				
Property, Plant and Equipment	12	4,650,642	4,166,241	4,390,421
Intangible Assets	13	85,657	88,868	88,868
Right-of-Use Assets	14.1	266,293	272,775	272,775
Investments in Subsidiaries	15	-	30,000	-
		5,002,592	4,557,884	4,752,064
Current Assets				
Inventories	17	3,656,606	3,247,592	3,602,127
Trade and Other Receivables	18	1,177,609	1,347,316	1,586,449
Advances and Prepayments	19	508,049	1,240,377	1,262,417
Income Tax Receivable		16,486	-	-
Cash and Cash Equivalents	20	156,688	843,214	866,243
		5,515,438	6,678,499	7,317,236
Total Assets		10,518,030	11,236,383	12,069,300
Equity and Liabilities				
Equity				
Stated Capital	21	283,735	283,735	283,735
Reserves	22	933,645	939,771	983,113
Retained Earnings		2,391,217	1,669,253	2,552,045
Total Equity		3,608,597	2,892,759	3,818,893
Non-Current Liabilities				
Interest Bearing Loans and Borrowings	16.1	656,122	1,128,989	1,128,989
Non Current Portion of Lease Liability	14.2	219,091	230,981	230,981
Retirement Benefit Liability	24	206,976	148,940	166,265
Deferred Tax Liabilities	9	444,218	245,033	238,321
		1,526,407	1,753,943	1,764,556
Current Liabilities				
Trade and Other Payables	25	1,693,480	2,951,594	2,614,366
Current Portion of Long-Term Interest Bearing Borrowings	16.1	573,067	651,392	651,392
Current Portion of Lease Liability	14.2	76,428	72,366	72,366
Short-Term Interest Bearing Borrowings	16.1	3,017,627	2,642,751	2,839,651
Provisions	23	22,424	17,093	19,687
Income Tax Liabilities		-	254,485	288,388
		5,383,026	6,526,573	6,422,742
Total Equity and Liabilities		10,518,030	11,236,383	12,069,300

Statement of Cash Flows

Year ended 31 March	Notes	Company		Group
		2023 Rs. '000	2022 Rs. '000	2022 Rs. '000
Cash Flows from Operating Activities				
Profit Before Taxation		153,540	1,156,418	1,381,755
Adjustments for,				
Finance Cost	7.1	1,208,112	259,866	267,937
Finance Income	7.2	(17,667)	(18,215)	(18,295)
Provision for Gratuity	24	42,689	22,287	24,088
(Profit) / Loss on Disposal of Property, Plant and Equipment	6	(491)	-	-
Provision/(Reversal) for Bad Debts	8	(9,989)	12,566	13,740
Provision/(Reversal) for Impairment of Property,Plant & Equipment	8	(36,975)	16,671	16,671
Depreciation and Amortization	8	382,982	276,338	291,831
Operating Profit Before Working Capital Changes		1,722,202	1,725,931	1,977,727
(Increase) / Decrease in Inventories		(54,479)	(1,576,891)	(1,703,925)
(Increase) / Decrease in Trade and Other Receivables		1,220,820	(353,130)	(435,707)
(Increase) / Decrease in Advances and Prepayments		15,466	(1,208,337)	(1,229,336)
Increase / (Decrease) in Trade and Other Payables		(876,396)	1,058,220	887,612
Cash (Used In) / Generated From Operating Activities		2,027,613	(354,207)	(503,630)
Finance Cost Paid	7.1	(1,170,750)	(226,714)	(234,784)
Surcharge Tax Paid		(63,108)	-	-
Income Tax Paid		(241,018)	(52,112)	(89,781)
Retirement Benefit Liability Paid	24	(10,907)	(9,857)	(10,550)
Net Cash (Used In) / Generated From Operating Activities		541,830	(642,890)	(838,844)
Cash Flows from Investing Activities				
Acquisition of Property, Plant and Equipment/ Intangible asset		(554,432)	(730,201)	(751,326)
Proceeds from Sale of Property, Plant and Equipment		1,793	-	-
Finance Income Received	7.2	17,667	18,215	18,295
Net Cash Used In Investing Activities		(534,972)	(711,986)	(733,031)
Cash Flows from Financing Activities				
Repayment of Interest Bearing Loans and Borrowings		(551,192)	(1,199,294)	(1,199,295)
Proceeds from Interest Bearing Loans and Borrowings		-	1,420,000	1,420,000
Lease Rental Paid	14.2	(73,825)	(39,904)	(39,904)
Dividend Paid	11	(269,373)	(239,443)	(239,443)
Net Cash Used In Financing Activities		(894,390)	(58,641)	(58,642)
Net (Decrease) / Increase in Cash and Cash Equivalents		(887,531)	(1,413,517)	(1,630,417)
Cash and Cash Equivalents from Alco Industries (Pvt) Ltd as at beginning of the year		-	(173,871)	-
Cash and Cash Equivalents at the Beginning of the Year		(1,973,408)	(386,019)	(342,991)
Cash and Cash Equivalents at end of the Year		(2,860,939)	(1,973,408)	(1,973,408)